by calculating their return on investment and profitability ration on sales.



ACTIVITY 1

To establish an Enterprise- to meet - Steps to be taken to meet an entrepreneur who has recently established the enterprise and discuss the steps in establishing the enterprise.

Entrepreneurs should also be prepared to have contingency plans regarding the repayment of loan amount. Normally banks and financial institutions insist on its payment along with interest charges by the borrower as per the repayment schedule formulated in respect of the project. The period normally permitted for repaying the instalments of the principle amount varies from **12 - 24** months from the date of the first release of the loan.

If proper precautions are taken in these two stages, the entrepreneur will be highly successful in his endeavour to sustain in the market and attains the desired goal.

7.4.3 Environmental factors affecting entrepreneurship

Some of the environmental factors which hinder entrepreneurial growth are given below.

1. Sudden changes in Government policy.
2. Sudden political upsurge.
3. Out-break of war or regional conflicts.
4. Political instability or hostile Government attitude towards industry.
5. Excessive redtapisum and corruption and corruption among government agencies.
6. Ideological and social conflicts.
7. Unreliable supply of power, materials, finance, labour and other inputs.
8. Rise in the cost of inputs.
9. Unfavorable market fluctuations.
10. Non – cooperative attitude of banks and financial institution.

7.4.4 Important role that entrepreneurship plays in the economic development

- Entrepreneurship promotes capital formation by mobilising the idle saving of the public.
- It provides immediate large-scale employment. Thus, it helps reduce the unemployment problem in the country, i.e., the root of all socio-economic problems.
- It promotes balanced regional development.
- It helps to increase the concentration of economic power.
- It stimulates the equitable distribution of wealth, income and even political power in the interest of the country.
- It encourages effective resource mobilisation of capital and skill.

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